sively, because almost all countries have a trade deficit with it, including us. Trade deficits between two countries occur when one imports from another much more than it exports, and thus, on paper at least, *needs* the other more.

This isn't necessarily as black and white as the numbers would show it to be. The US has the biggest trade deficit with China of all , but that's only because it has the biggest economy. If it pays through its nose for goods to come into the US, it also receives a lot of that back in investment from China, because the Chinese government artificially keeps the value of the Yuan low.

When you're in the business of exporting goods or services for foreign currency, you want the currency you earn in to be stronger than your own currency. Thus, if USD 100 used to get you ₹65 a decade ago, you're actually better off with the current rate of nearly ₹76. Why? Because you become more competitive – since you're earning more rupees for the same product, you can invest in your company to increase production, or quality, or in the case of stiff competition from a company somewhere else in the world, price them out of the game. And this is exactly what China has done over the past 25 years... priced people out of the game, by keeping the Yuan artificially low. How they have done that has been the topic of several books, so we obviously do not have the time to explain it here, but here's how it works at a layman level of understanding.

Let's say you are China, and you get an influx of a trillion dollars into your economy from exporting goods. This means that your country is now a trillion dollars richer. Ideally, your currency would increase in value, as compared to, say the US, who was the biggest contributor to that trillion dollars. China prevents this by investing that trillion dollars back into the world's richest nation, the US. This means that the US dollar gets stronger, which in turn means every Chinese owner who runs an export business gets even more Yuan for every dollar worth of goods he exports. So China can buy influence in the US by being huge shareholders of companies there (companies that then do *even more* business with China), whilst at the same time, earning more and more money from exports because of a US dollar that gets stronger as time passes!

And this is merely one of the ways in which money works, when it is controlled by governments. Such a thing could not be possible with decentralised currencies, such as Bitcoin for example. This is just one of the millions of factors at play in the global economy, and there are also a million more things to consider other than just money.

> **Those jobs aren't coming back**
>
> – Steve Jobs to Barack Obama
>
> https://dgit.in/applcn

If China shut down the factory of the world, it could pull out the money it has stored overseas in countries across the globe, and economies would collapse. Of course it's not necessary for them to do so, they could just use that investment in a million other ways that benefit them. So far, not so good! Now let's look at big name companies and how they would fare.

OFFICE COMPLEX

Apple would be one of the biggest losers of all, because it is almost totally reliant on China for nearly all of its manufacturing. If China were to disappear on us, Apple would be in very serious trouble. Of course they also have the market cap and cash reserves to start a massive operation to get out of trouble, but it would come at a huge cost. Yes, they do a little bit of manufacturing outside of China, but it is mostly assembly. It would have to wait till we set up the necessary fabs here in India before they could start full scale manufacturing all over again. And India is their only dependable and scalable option if they're looking at large scale replacement of China as their factory. As soon as COVID-19 became a problem in China, Apple released a warning to its stockholders that profits would be hit, not just because of manufacturing, but also because of the loss of sales of its phones in China as well.

However, it's not just Apple. Assembly needs parts, and a lot of the world's electronic parts come from China. If this source were to dry up overnight, you can safely consider not being able to upgrade your phones for at least a year, or even longer. And forget new models, we're saying the manufacture of *existing models* would dry up, which would obviously mean prices would skyrocket.

A Taiwanese, Japanese, Korean or Indian company could fill that void, but at higher costs. Sales would rise for such companies, and we're not talking about the slight increase we have seen for Indian brands over June in India, we're talking massive jumps in numbers as people would have no option left anymore.

Google, IBM, Microsoft, Intel, AMD, NVIDIA, and the likes would be affected as well, but not nearly as much as Apple. Facebook, Twitter, and online businesses of their kind, would be far less affected as they're largely isolated from manufacturing, have little or no presence in China anyway, and are only exposed to increased server / data farm costs.

ANOMALOUS MATERIALS

If there's one thing that would immediately become a problem, it's rare earth element mining. China dominates this sector, and the US is following at a distant second. More deposits have been found in various parts of the world and mining would need to be scaled up, but it would be much more expensive.

Rare earth elements are a group of metals on the periodic table called